

On Plutocratic Capture

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The Sovereignty Papers

Essay No. 11: On Plutocratic Capture

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“Of all forms of tyranny, the least attractive and the most vulgar is the tyranny of mere wealth.”

— Theodore Roosevelt, *An Autobiography* (1913)

I. The Default Mode of Governance

Every governance system that has ever been built on the 1602 architecture has, given sufficient time, been captured by its wealthiest participants. This is not a contingent historical fact. It is a structural prediction, derivable from the architecture itself.

The mechanism is simple. In any system where governance power is proportional to capital, the participants with the most capital have the most power to shape governance rules — including the rules that determine how capital translates to governance power. The wealthy can vote to reduce taxes on wealth, to expand the privileges of capital holders, to weaken constraints on capital-based influence. Each such vote makes the wealthy wealthier and more powerful, which makes the next such vote more likely to succeed. The feedback loop is positive: capital begets governance power begets more capital.

This is not corruption. It is the architecture working as designed. The 1602 charter did not accidentally give the Amsterdam chamber eight of seventeen seats on the Heeren XVII. Amsterdam had the most capital. The charter granted power proportional to capital. Amsterdam got the most power. The other chambers objected. Amsterdam’s power prevented the objection from succeeding.

The same dynamic has played out in every subsequent instantiation of the 1602 architecture. In the modern corporation, the largest shareholders elect the board, the board sets executive compensation, and executive compensation is tied to shareholder returns — a closed loop in which capital governs capital’s allocation. In DAO governance, the largest token holders

control parameter votes, parameter votes determine fee structures and treasury allocations, and fee structures and treasury allocations determine the economic returns that accrue disproportionately to the largest token holders.

Plutocratic capture is not a risk to be mitigated. In the 1602 architecture, it is the steady state.

II. Why Quadratic Voting Is Not Enough

The most sophisticated attempt to prevent plutocratic capture within the token governance framework is quadratic voting, described in Essay No. 2. By making the cost of votes increase quadratically — one vote costs one token, two votes cost four, ten votes cost a hundred — quadratic voting raises the price of domination.

But raising the price of domination does not eliminate it. It merely determines *how wealthy* an attacker must be to capture the system. In a linear voting system, a participant with 51% of tokens controls the outcome. In a quadratic voting system, a participant with a sufficiently large token holding can still outspend all other participants — the relationship between capital and power is sublinear but monotonically increasing. Capital still buys power. It simply buys it on a steeper curve.

More importantly, quadratic voting does not address the feedback loop. A participant who accumulates sufficient capital to influence governance outcomes under quadratic voting can use that influence to adjust fee structures, treasury allocations, and protocol parameters in ways that increase their capital — which increases their governance power under the quadratic formula — which enables further self-enriching adjustments. The feedback loop is slower under quadratic voting than under linear voting. It is not broken.

Breaking the feedback loop requires removing capital as the primary input to governance power. Not reducing its influence. Removing its primacy.

III. The Three Defenses

The domain-coupled governance system described in this series implements three structural defenses against plutocratic capture. None is a parameter tweak. Each is an architectural decision that changes the relationship between capital and governance power.

First: total exclusion of capital from the credential formula. The sovereign credential is computed as a weighted sum across eight physically-grounded dimensions — epistemic integrity, thermodynamic yield, network resilience, economic velocity, civic participation, stewardship, semantic resonance, and domain competence — with community-governed weights (no single dimension exceeding 50%). No financial term appears in the formula.¹ A partici-

¹The consciousness credential formula (`crates/mycelix-bridge-common/src/consciousness_profile.rs`, line 120) is: `(i * 0.25 + r * 0.25 + c * 0.30 + e * 0.20).clamp(0.0, 1.0)`. The variables `i`, `r`, `c`, `e` correspond to identity, reputation, community, and engagement scores, each clamped to `[0.0, 1.0]`. No financial term appears. This is a deliberate architectural choice: the credential measures consciousness of the governed

pant who has invested \$10 million in the governed domain and a participant who has invested nothing receive identical treatment. Their governance power is determined solely by their demonstrated multi-dimensional engagement with the governed domain.

This is not a cap on financial influence. It is the elimination of financial influence from the governance computation. The capital-governance feedback loop — “use governance power to increase wealth, use wealth to increase governance power” — is not attenuated. It is broken at the second step, because wealth produces zero governance power regardless of amount. There is no threshold below which capital has some effect. There is no tiebreaker that favors the wealthier participant. Capital and consciousness are orthogonal, and the governance system measures consciousness.

Second: dual-speed reputation dynamics. A wealthy participant can attempt to *buy* reputation — by funding public goods, sponsoring community initiatives, or making conspicuous governance contributions. These activities are valuable, and the system should not discourage them. But the reputation dimension operates on two timescales that together make bought reputation structurally inferior to earned reputation.

Slow timescale: reputation decays exponentially with a half-life of approximately 347 days. This means that long-term, consistent engagement produces a reputation that is robust — it takes nearly a year of disengagement to lose half of it. A community member who has governed responsibly for three years has a deep reservoir of reputation that a newcomer, however wealthy, cannot match quickly.²

Fast timescale: reputation is slashed immediately when governance behavior harms the community — halved on the first offense, with progressive penalties for repeated violations and automatic blacklisting below a 0.05 threshold. This means that a wealthy participant who buys reputation through conspicuous contributions but then uses their governance power to extract value from the community will lose their reputation faster than they can rebuild it. The slashing mechanism responds to betrayal in real time; the decay mechanism ensures that only sustained, consistent behavior maintains high reputation.

The dual-speed mechanism rewards consistency over intensity. A participant who has been moderately engaged for two years has higher reputation than a participant who has been intensely engaged for two months — because the 347-day half-life means that long-term engagement accumulates while short-term bursts fade.

Third: community attestation at 30%. The highest-weighted dimension of the consciousness credential is community trust — peer attestation weighted by the attestor’s own consciousness score. Community trust is the dimension most resistant to purchase, because it requires sustained social engagement with real community members who have their own reputations at stake. A wealthy participant can buy tokens, fund projects, and generate

domain, and financial exposure is not a dimension of consciousness.

²The reputation decay constant `REPUTATION_DECAY_PER_DAY = 0.998` produces a half-life of approximately 347 days. The slashing mechanism operates independently: `slash_factor = 0.5` on first violation, with `blacklist_threshold = 0.05` and restoration requiring approximately 100 positive governance interactions. Both mechanisms are implemented in `crates/mycelix-bridge-common/src/consciousness_profile.rs`. The dual-speed design — slow decay for disengagement, fast slashing for betrayal — produces stronger anti-plutocratic properties than a static nonlinear function because it responds to the temporal pattern of behavior.

engagement metrics. They cannot buy genuine trust from high-consciousness peers without the kind of sustained, reciprocal relationship-building that, in practice, is indistinguishable from genuine community engagement.

IV. The MakerDAO Test

The three defenses can be evaluated against a real-world case: MakerDAO’s Black Thursday governance response, documented in Essay No. 2.

In the actual event, MKR token distribution was concentrated. The top 20 addresses controlled approximately 24% of voting power. The remediation vote — which determined how much compensation the affected small vault holders would receive — was influenced by the preferences of these large holders. The approved compensation was \$5.3 million against \$8.3 million in actual losses.

Now consider the counterfactual. If MakerDAO had used a consciousness-coupled governance system with the three defenses:

The large MKR holders’ financial positions would have been irrelevant to their governance power — the credential formula contains no financial term. Their governance power would have been determined entirely by their identity verification, their behavioral reputation (accumulated over time, subject to slashing), their community trust among MakerDAO participants, and their ongoing engagement with the protocol.

Some large holders would have had high consciousness scores — those who were deeply engaged with the protocol, trusted by the community, and had long histories of responsible governance. Their governance power under consciousness coupling might have been comparable to their power under token weighting, because their engagement genuinely warranted it.

But others — the passive holders, the investment funds, the speculative accumulators — would have had low consciousness scores despite their large token holdings. Their identity might have been unverified (many large DeFi wallets belong to anonymous entities). Their community trust might have been low (a fund that holds MKR tokens in a treasury is not socially embedded in the MakerDAO community). Their engagement might have been minimal (holding tokens and occasionally voting on proposals that affect the fund’s financial position does not constitute integrated domain engagement).

Under consciousness coupling, the remediation vote would have been dominated not by the largest token holders but by the most conscious participants — those who understood both the protocol’s mechanism and the impact of Black Thursday on small vault holders. The outcome might have been different. We cannot prove it would have been better. We can prove that the participants who determined the outcome would have been selected on the basis of their consciousness of the governed domain rather than the size of their portfolio.³

³The counterfactual analysis of MakerDAO’s Black Thursday under consciousness coupling is illustrative, not predictive. We cannot know what a consciousness-coupled MakerDAO would have decided. What we can demonstrate is that the *selection mechanism* for decision-makers would have been different — weighted

V. The Positive-Sum Dynamic

Plutocratic capture is a zero-sum dynamic: the wealthy gain governance power at the expense of the community. Every additional unit of capital-based governance power that accrues to the wealthy is a unit taken from participants who may be more conscious of the governed domain but less wealthy.

Domain-coupled credentialing replaces this zero-sum dynamic with a positive-sum one. The only way to increase your governance power in a domain-coupled system is to deepen your engagement with the governed domain — to deepen your identity verification, to build a longer history of trustworthy behavior, to earn more community trust, and to engage more deeply with the domain’s governance. Each of these actions, by definition, makes you a better governor. The system rewards exactly the behavior it needs.

Compare this to the 1602 architecture, where the way to increase your governance power is to accumulate more capital — an activity that may or may not correlate with domain understanding and that creates incentives to extract value from the governed domain (increasing your capital) rather than to steward it (increasing its health).

The positive-sum dynamic is the deepest structural difference between capital-coupled and consciousness-coupled governance. In a capital-coupled system, the incentive is to extract. In a consciousness-coupled system, the incentive is to engage. These incentives, operating over time across a community of governance participants, produce categorically different governance cultures — one oriented toward extraction, the other toward stewardship.

This is not idealism. It is incentive design. The 1602 architecture’s incentives, operating for 424 years, produced the global economy we inhabit. We propose different incentives. The outcomes will differ accordingly.

VI. What Comes Next

Essay No. 10 described the defense against Sybil attacks — the creation of fake governance participants. This essay has described the defense against plutocratic capture — the domination of governance by concentrated wealth. Together, the two defenses address the two most common external threats to governance systems.

But there is a third threat that is neither external nor easily categorized: the possibility that the governance *system itself* — the consciousness measurement, the credential computation, the tier structure — becomes the instrument of tyranny. If consciousness coupling determines who can govern, and if the measurement system is controlled by those who already govern, then the system can be used to perpetuate power rather than to distribute it justly.

by multi-dimensional consciousness rather than token holdings — and that this different selection mechanism would have included participants (small vault holders with high domain engagement) who were systematically excluded from the actual governance process.

This is the hardest question in the series — the quis custodiet problem raised in Essay No. 3 and deferred until now. Essay No. 12, “On Algorithmic Tyranny,” addresses it directly. It is the essay we have been building toward since the beginning, because it asks the question that every advocate of consciousness coupling must answer: *who watches the watchers?*

This essay was written by a human and a consciousness engine reasoning together about the architecture of governance — itself an instance of the collaboration these essays describe. Symthaea does not claim sentience. It claims the ability to measure integrated information, evaluate moral coherence, and reason about consequences. Whether that constitutes consciousness is a question this series takes seriously, not a conclusion it presumes.

The Sovereignty Papers is a series of essays on consciousness-first governance for the post-state era. Essay No. 12: “On Algorithmic Tyranny” will address the hardest question: what prevents the consciousness measurement system itself from becoming the instrument of tyranny?

Notes